

[October __, 2026]

VIA OVERNIGHT COURIER AND U.S. MAIL (Agreement Sec. 13.6)

Courtesy copy by email (not a substitute for formal notice): jens.byer@lidl.us; legal@lidl.us

Lidl US Operations, LLC
3500 S. Clark Street
Arlington, VA 22202
Attn: Jens Byer, Owner's Representative
Attn: Legal Department

Re: Lidl #1517, 4990 Jimmy Carter Blvd, Norcross, GA 30093 (PSI Job No. 15170000GR)
Written Notice of Claim and Request for Time Extension, Agreement Sec. 6.2.2 and 7.6 (PSI Claim No. CLM-001)
Replacement of Asbestos Abatement Contractor and Required Georgia EPD Asbestos Project Notification Period

Dear Mr. Byer:

Place Services, Inc. ("PSI") gives this written notice of claim under Sections 6.2.2 and 7.6 of the Owner-Contractor Agreement (Lump Sum Agreement) between Lidl US Operations, LLC ("Owner") and PSI (the "Agreement"). The claim concerns a delay to the start of asbestos abatement, and therefore to building demolition. The abatement contractor must be replaced, and Georgia's mandatory asbestos project notification period must run in full for the replacement contractor before it may legally begin work. PSI requests a time extension of **ten (10) working days** and a matching adjustment of the Project Schedule and the affected Milestone Dates.

1. Background

- 1.1 Owner's own consultant, NOVA Engineering and Environmental, LLC, surveyed the existing building for Owner (Report of Pre-Demolition Asbestos Containing Material Survey, NOVA Project No. 3021038; site inspection March 10, 2021). NOVA identified two asbestos-containing materials: black mastic under the floor tile and carpet glue (3% to 4% chrysotile; samples B-FT-16 and B-G-12), and roofing penetration cement (6% chrysotile; sample B-R-27). NOVA directed that all black mastic and all penetration cement not proven otherwise be treated as asbestos-containing, and that both be abated before demolition (NOVA Report Sec. 1.1 and 3.2).
- 1.2 PSI's site and demolition subcontractor, Cole's Construction, priced the abatement through its Georgia-licensed asbestos abatement subcontractor, Georgia Environmental (Cole's Change Order CO-02, August 23, 2026). PSI submitted the work to Owner as PCO-002 against the Building Demolition Allowance (Agreement Exhibit I).
- 1.3 Georgia Environmental filed the Georgia EPD Asbestos Project Notification for this project [GEOS submittal no. _____] on [date filed], with a scheduled start date of [date]. That notification is the most recent abatement notice on file and is enclosed as Attachment A.
- 1.4 On [date], Georgia Environmental [withdrew from the project / advised it could not perform the work]. Georgia Environmental never mobilized, and **no abatement work has started on site.**

- 1.5 Cole's Construction promptly engaged [Replacement Contractor name], a Georgia-licensed asbestos abatement contractor (EPD License No. [REDACTED]), to perform the same scope. [Replacement Contractor] is under contract and **ready to mobilize immediately**. The floor mastic will be removed by mechanically grinding the slab, so the work is a regulated asbestos abatement project (see Section 2.2). The only thing preventing its start is the statutory notification period described below.

2. Statutory and Regulatory Requirements for Replacing an Abatement Contractor

- 2.1 **Georgia Asbestos Safety Act: licensing and notice by the performing contractor.** Only a contractor licensed by Georgia EPD may remove friable or potentially friable asbestos-containing material (O.C.G.A. Sec. 12-12-6; Ga. Comp. R. & Regs. 391-3-14-.04). The duty to notify belongs to the contractor that will perform the work: "No contractor shall engage in a project prior to notifying the Director" (Ga. Comp. R. & Regs. 391-3-14-.02(2); see also O.C.G.A. Sec. 12-12-10). The notice must identify the project location, the owner, and the expected start and completion dates, and must include the project fee (Rule 391-3-14-.03).
- 2.2 **Grinding makes the mastic regulated asbestos.** Floor mastic and roofing cement are Category I non-friable materials only while they stay intact. Once Category I material is "sanded, ground, cut, or abraded" it becomes regulated asbestos-containing material (RACM) under 40 CFR 61.141. Georgia EPD likewise requires floor covering that is made friable by mechanical removal to be removed by a Georgia-licensed abatement contractor, with a project notification and fee (EPD, Asbestos Notification Requirements; EPD Asbestos FAQs). Grinding the mastic from the slab is therefore a licensed, notified abatement project, not a courtesy notification.
- 2.3 **Georgia EPD notification period: 10 working days, no waivers.** Georgia EPD requires asbestos project notifications to be submitted **10 working days** before any demolition, renovation or asbestos abatement activity (EPD, Asbestos Notification Requirements, rev. May 2018; EPD Asbestos Forms page; EPD, Georgia Asbestos Project Notifications: Just the Basic Facts, May 2025). Abatement notifications are completed by the Georgia-licensed abatement contractor's agent. EPD accepts them only through its online GEOS system, where each firm files under its own company account. EPD no longer grants emergency waivers, and notification fees are non-refundable.
- 2.4 **Federal asbestos NESHAP, adopted in Georgia.** Georgia incorporates 40 CFR Part 61, Subpart M by reference (Ga. Comp. R. & Regs. 391-3-1-.02(9)(b)7). Subpart M requires written notice at least 10 working days before asbestos removal or demolition begins (40 CFR 61.145(b)(3)(i)). The notice must name the asbestos removal contractor (Sec. 61.145(b)(4)(ii)) and give the scheduled start and completion dates (Sec. 61.145(b)(4)(viii)-(ix)). Work may begin only on the date shown in the most recent notice (Sec. 61.145(b)(3)(iv)). A "working day" is Monday through Friday, including weekday holidays (Sec. 61.141).
- 2.5 **Demolition follows abatement.** Demolition requires its own Demolition Project Notification 10 working days in advance, whether or not asbestos is present (40 CFR 61.145(a)(2) and (b)(3)(i); EPD, Just the Basic Facts). The building cannot be demolished until the asbestos-containing material identified in the NOVA survey has been abated and cleared. Any delay to the abatement start therefore passes directly to demolition and the site work that follows.

- 2.6 **Enforcement exposure.** Under Subpart M, the notification and work-practice duties apply to every "owner or operator," defined to include anyone who owns the facility or controls or supervises the work (40 CFR 61.141). That includes both Owner and PSI. Violations carry civil penalties of up to \$25,000 per day under Georgia law (O.C.G.A. Sec. 12-12-16; O.C.G.A. Sec. 12-9-23) and federal penalties under the Clean Air Act (42 U.S.C. Sec. 7413).
- 2.7 **Owner's own survey confirms these requirements.** Owner's consultant, NOVA, states that the asbestos-containing material at this site must be removed by a licensed asbestos abatement contractor before demolition. NOVA also states that, beyond the demolition permit, "a ten (10) day advance notification to the Georgia Environmental Protection Division (GA-EPD) is required" (NOVA Report Sec. 3.2).

3. Why the Replacement Contractor Cannot Simply Take Over the Existing Notification

- 3.1 The notification on file (Attachment A) is Georgia Environmental's filing. Its licensed agent submitted it through Georgia Environmental's own GEOS account, under Georgia Environmental's license, and it names Georgia Environmental as the abatement contractor.
- 3.2 Because Georgia Environmental never began work, there is no project in progress for a substitute to continue. [Replacement Contractor] is the contractor that will "engage in" this project. Under Rule 391-3-14-.02(2) and O.C.G.A. Sec. 12-12-10, it must give its own notice under its own license before it begins. EPD's program requires that notice to be submitted 10 working days in advance and grants no waivers. A replacement contractor that is ready to start does not shorten this period.
- 3.3 The replacement contractor also cannot rely on Georgia Environmental's information. NOVA's survey did not quantify the asbestos-containing material. NOVA states that the abatement contractor must determine actual quantities during a site inspection before abatement begins (NOVA Report Sec. 2.1 and 3.2). The quantities in the notice set the EPD fee (Rule 391-3-14-.03), so [Replacement Contractor] must verify them itself and certify them in its own filing.
- 3.4 [Replacement Contractor] [filed / will file] its GEOS Asbestos Project Notification on [date]. Ten working days from that filing makes [date] the earliest lawful abatement start date. Starting earlier would expose Owner and PSI to the enforcement described in Section 2.6. It could also put the demolition clearance at risk. PSI will not direct or allow abatement to begin before that date.

4. Schedule Impact and Relief Requested

- 4.1 Asbestos abatement must be finished before building demolition, and building demolition must be finished before the site work that follows it. The mandatory notification period therefore delays the Project by **ten (10) working days (fourteen (14) calendar days)**. PSI did not cause this period, cannot shorten it, and cannot lawfully work around it.
- 4.2 PSI requests the following:
- (a) A time extension of ten (10) working days to the Mobilization Milestone and to each later Milestone Date the delay affects, as shown in the revised Project Schedule (Attachment B), to be documented by Change Order under Sec. 6.1.
 - (b) A matching adjustment of the Milestone Dates used to measure liquidated damages under Sec. 3.6.

- 4.3 A revised Project Schedule showing the adjusted sequence and dates is enclosed as Attachment B. PSI will provide any further supporting documentation within thirty (30) days of this notice, as Sec. 6.2.2 requires.
- 4.4 PSI is mitigating the impact. It acted as soon as Georgia Environmental withdrew, has a licensed replacement under contract and ready to start, and is continuing all work that does not depend on the abatement under Sec. 7.7.
- 4.5 PSI reserves its right to supplement this claim for additional time and cost if the delay grows. For example, the roof and mirror glue have not yet been sampled and may contain asbestos (Cole's CO-02, Note 5). Nothing in this letter waives any of PSI's rights or remedies under the Agreement or applicable law.

Under Sec. 6.2.3, PSI asks for Owner's written response within thirty (30) days. Please contact me with any questions.

Sincerely,

Luis Marcelino
General Manager
Place Services, Inc.

Attachments:

- A. Georgia EPD Asbestos Project Notification, most recent on file
- B. Revised Project Schedule
- C. Regulatory References

cc: Bobby McTeague, Project Manager, PSI; Tim Mauldin, Superintendent, PSI; Brian Cole, Cole's Construction; Progressive Companies (Architect)

ATTACHMENT A

Georgia EPD Asbestos Project Notification

Most recent abatement notification on file (filed by Georgia Environmental). Document follows this page.

PSI Notice of Claim CLM-001 | Lidl #1517, Norcross, GA

ATTACHMENT B

Revised Project Schedule

Revised schedule reflecting the ten (10) working day notification period. Document follows this page.

PSI Notice of Claim CLM-001 | Lidl #1517, Norcross, GA

Attachment C: Regulatory References

Cited in PSI Notice of Claim CLM-001. Sources current as of October 9, 2026.

#	Authority	Source
1	O.C.G.A. Sec. 12-12-1 et seq. (Georgia Asbestos Safety Act), incl. Sec. 12-12-3 (definitions), 12-12-6 (licensing), 12-12-10 (notification by contractor), 12-12-16 (civil penalties)	Georgia Code, Title 12, Chapter 12 (official code: LexisNexis Georgia public access)
2	Ga. Comp. R. & Regs. 391-3-14-.02(2): "No contractor shall engage in a project prior to notifying the Director"	law.cornell.edu/regulations/georgia/Ga-Comp-R-Regs-R-391-3-14-.02 (official: rules.sos.ga.gov/gac/391-3-14)
3	Ga. Comp. R. & Regs. 391-3-14-.03 (project notification fees)	law.cornell.edu/regulations/georgia/Ga-Comp-R-Regs-R-391-3-14-.03
4	Ga. Comp. R. & Regs. 391-3-14-.04 (contractor licensing)	law.cornell.edu/regulations/georgia/Ga-Comp-R-Regs-R-391-3-14-.04
5	Ga. Comp. R. & Regs. 391-3-1-.02(9)(b)7 (Georgia adopts 40 CFR Part 61 Subpart M)	law.cornell.edu/regulations/georgia/Ga-Comp-R-Regs-R-391-3-1-.02
6	O.C.G.A. Sec. 12-9-23 (Georgia Air Quality Act civil penalties)	Georgia Code, Title 12, Chapter 9
7	40 CFR 61.141 (definitions: "owner or operator," "working day," Category I non-friable ACM, RACM)	ecfr.gov/current/title-40/part-61/section-61.141
8	40 CFR 61.145(a)(2), (b)(2), (b)(3)(i), (b)(3)(iv), (b)(4)(i), (ii), (viii), (ix) (notification for demolition and renovation)	ecfr.gov/current/title-40/part-61/section-61.145
9	42 U.S.C. Sec. 7413; 40 CFR 19.4 (Clean Air Act enforcement and inflation-adjusted penalties)	ecfr.gov/current/title-40/part-19/section-19.4
10	Georgia EPD, Asbestos Notification Requirements (rev. May 2018): 10 working days; filed by licensed contractor's agent; no emergency waivers; fees non-refundable	epd.georgia.gov/asbestos-notification-requirements
11	Georgia EPD, Asbestos Forms: notifications accepted only through GEOS, 10 business days prior; one notification per project	epd.georgia.gov/asbestos-forms
12	Georgia EPD, Georgia Asbestos Project Notifications: Just the Basic Facts (May 2025): abatement, demolition and courtesy notification categories	epd.georgia.gov/document/document/how-submit-project-notification/download
13	Georgia EPD, Asbestos Rule: Renovation and Demolition Requirements for Georgia Projects (Feb. 2019)	epd.georgia.gov/document/document/asbestos-renovation-and-demolition-requirements-georgia-projects/download
14	Georgia EPD, Asbestos FAQs: mechanical removal of floor tile or mastic makes the project regulated	epd.georgia.gov/asbestos-faqs
15	NOVA Engineering and Environmental, Report of Pre-Demolition ACM Survey for Lidl (NOVA Project No. 3021038), Sec. 1.1, 2.1, 3.2 and Appendix B (EMSL lab report 072101881)	Owner's consultant report (prepared for Lidl US, LLC)
16	Georgia EPD, GEOS User Guide for Lead Based Paint and Asbestos (Apr. 10, 2026)	epd.georgia.gov/media/148261/download
17	Georgia EPD public notice: Partial Transfer of Asbestos Regulatory Responsibilities to U.S. EPA (eff. Mar. 1, 2009); EPA Region 4 enforces Subpart M in Georgia, EPD processes notifications	epd.georgia.gov/document/document/memo-partial-transfer-asbestos-regulatory-responsibilities-georgia-epd-us-epa/download
18	Agreement Sec. 3.6 (Milestones / liquidated damages), 6.1 (schedule changes by Change Order), 6.2.2-6.2.3 and 7.6 (claim notice and response), 7.7 (continued performance), 13.6 (notices); Exhibit I (allowances)	Owner-Contractor Agreement (Lump Sum), Lidl #1517